



FAMILY MATTERS: (Above) With sister Nina Kothari, wife Nita and mother Kokilaben; at a Reliance retail mart

'80s, the obvious segments to target were *roti*, *kapda* and *makan*. *Roti* was too complex and *makan* was too small to scale, given the plethora of regulations. *Kapda* was comparatively open. So while everyone wondered whether rayon, nylon, polyester or acrylic would be the next big fabric, the Ambanis chose to bet on polyester. Then they simply built scale, slashed prices and drove competition out.

Petrochemicals and a refinery were the next step. When Mukesh proposed to build the plant at Hazira, family friend Darbari Sheth cautioned that petrochemicals were not textiles. But Mukesh, confident of the knowledge he had gained at the University Institute of Chemical Technology and his stint at Stanford, knew better. Reliance went ahead with the mantra of scale, building big to cut costs and carve market shares. It worked with consumers to innovate, fund and develop the market by offering new applications and import substitution. It set up the world's largest grassroots refinery. Today, RIL virtually rules the market. If you look at the use of plastics and



polymers around you—at retail outlets or for milk crates—the foresight would hit home.

It is not just the physical engineering but the financial architecture which binds businesses that is fascinating. Business, at the end of the day, says Mukesh, "is measured by financial performance". The golden rule at Reliance is that operating performance is the litmus test and every business model has to pass the 20 per cent return on capital test. Simply, every business has to return the capital in five years. Of course there is the risk of failure because of the economic or political environment. The intelligence in betting on scale lies in hedging all bets. By choosing sectors that are aligned to the Indian growth story, Mukesh has de-risked the company. He has also kept the clout of Reliance thriving through the corridors of power. The measure of Mukesh's success is he has managed the ecosystem well.

As India grew, so did Reliance, and exponentially so. At every step Reliance has tweaked the business model, from dollarising costs in 1991 to face foreign competition, to benchmarking projects to international standards. The

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sectors aligned to the Indian growth story and by keeping the Reliance clout alive in the corridors of power, Mukesh has managed the ecosystem profitably.

